

Its free cash flow (after all capital expenditure [capex]) through 2001 was:

1999 –\$2.9 billion

2000 –\$4.4 billion

2001 –\$2.1 billion

In 2002, it stated that it expected well under \$1 billion in negative cash flow and well under \$500 million in 2003 before Level 3 expected to become cash flow positive by 2004. The company expected to use its cushion of \$2 + billion conservatively over the next three years until it turned cash flow positive. In light of the dot-com crash and adverse capital markets, the company had turned very conservative on its capital outlays.

On every conference call, Level 3's CEO, Jim Crowe, repeatedly stated that they would never run out of cash. He insisted that they were funded to cash flow breakeven and 80 percent of future capex was tied to revenue. Level 3 repeatedly said that if revenue was not coming in, it was not going to be mindlessly spending money. It gave very detailed analytics of why and how it would never run out of cash. Here is an excerpt from a February 25, 2002, press release by Level 3:

“Taking into account all recent transactions and events,” said James Q. Crowe, CEO of Level 3, “we believe that Level 3 remains fully funded to free cash flow breakeven with a substantial cushion in accordance with our business plan, even if our current rate of sales does not improve over time.”⁴

Analysts were projecting that Level 3 would eventually have about a \$500 million shortfall of cash. They got these projections by reducing revenue numbers, but assumed no reduction in capital expenses or the like. The company vehemently disagreed with these projections as it had tied virtually all capex to revenue and had dramatically cut back on capex.